Emerging Markets Capital Flows Monitor (Mar. 2026)

- **Our measure of EM capital flows points to larger outflows from emerging market assets since the start of the Middle East conflict than during the height of the pandemic. EM external positions are healthy by recent standards so this may not present immediate balance of payment risks. But it does raise the prospect of significant interest rate hikes should the conflict intensify and outflows continue to build.**
- Our proprietary measure of non-residents' net purchases of EM assets (compiled from countries that produce timely data) showed that outflows from EM bonds and equities have surged over the past month to over US$60bn. (See Chart 1.) **On a dollar basis, this exceeds the outflows from the most intense phase of the pandemic in April 2020**.
- Flows out of EM bond markets have picked up sharply, which is unsurprising given the reassessment of the inflation outlook in light of the energy price shock. **However, this only accounts for a quarter of the outflows from EM assets. Indeed, outflows from EM equities have been particularly large**. (See Chart 2.)
- Equity markets in Asia have seen the largest outflows, which reflects a combination of three factors; i) their size, ii) a period of strong inflows in the months prior to the Iran war and iii) Asia's larger exposure to disrupted energy flows than other EM regions. Korea has seen a very severe bout of outflows (see Chart 3), which has contributed to a 13% slump in the KOSPI since the start of March. That said, Korean equities are still up by 100% over the past year as it has been a key beneficiary in the AI infrastructure build out.
- Looking ahead, our baseline scenario is that the Iran war continues intensely until the end of April. At that point, outflows from EMs would probably start to ease. But in a more adverse scenario, outflows could intensify further. Encouragingly, our *Financial Risk Indicators* highlight that **EM currency crisis risks are near historically low levels, and major EMs are well placed to weather tighter external financing conditions**. But sustained outflows and downward pressure on currencies would probably still force some EM central banks (beyond Turkey) into interest rate hikes. These include the Philippines, Indonesia, Mexico and several Central European economies.

Chart 1: Non-Residents' Net Purchases of EM* Bonds and Equities ($bn, 1m Rolling Sum)

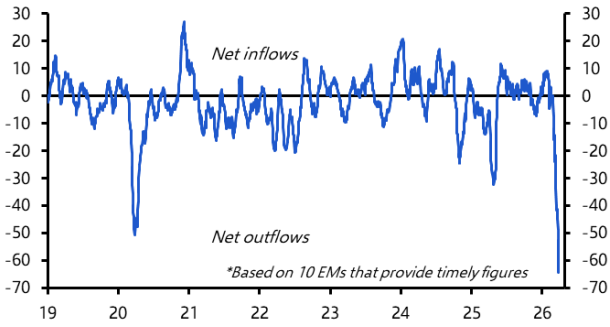


Chart 2: Non-Residents' Net Purchases of EM* Bonds and Equities ($bn, 1m Rolling Sum)

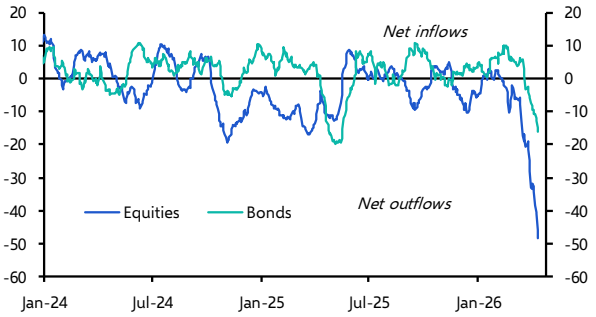


Chart 3: Non-Residents' Net Purchases of Korean Equities ($bn, 1m Rolling Sum)

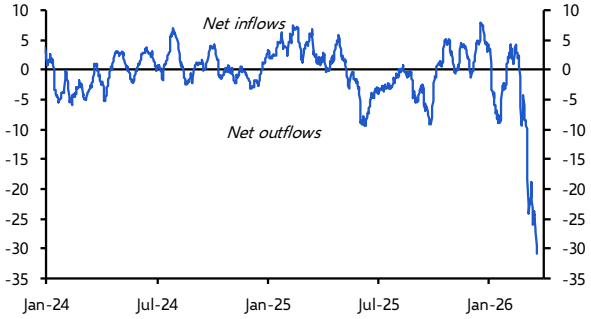
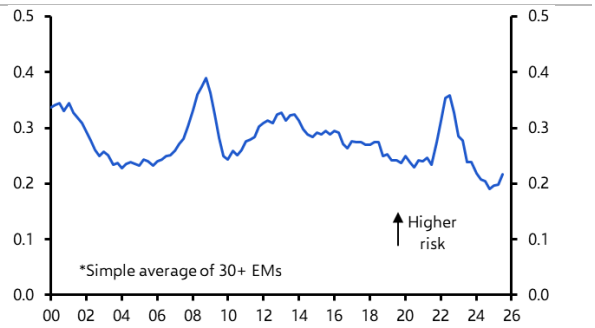


Chart 4: CE EM Currency Risk Indicator (Latest = Q1 2026)



Sources: LSEG, Capital Economics

Shilan Shah, Deputy Chief EM Economist, shilan.shah@capitaleconomics.com

Learn more: Consultancy Events Data

Disclaimer: While every effort has been made to ensure that the data quoted and used for the research behind this document is reliable, there is no guarantee that it is correct, and Capital Economics Limited and its subsidiaries can accept no liability whatsoever in respect of any errors or omissions. This document is a piece of economic research and is not intended to constitute investment advice, nor to solicit dealing in securities or investments.

Distribution: Subscribers are free to make copies of our publications for their own use, and for the use of members of the subscribing team at their business location. No other form of copying or distribution of our publications is permitted without our explicit permission. This includes but is not limited to internal distribution to non-subscribing employees or teams.